

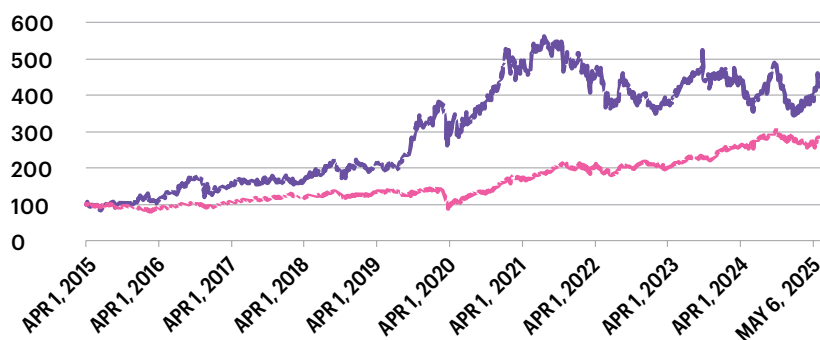


and services. That can be a very big differentiator in the mind of the customer.” He says buying paints is easy but servicing is tough. “Product innovation in decorative means identifying unmet needs. It could be stains on the walls or weather coating, which are huge markets, as external walls in India need more care due to the tropical weather.”

In Roy’s own mind, Berger had “a

BERGER PAINTS V/S NIFTY

• The Berger stock has risen way more than the Nifty since 2015



— BERGER PAINTS INDIA — NIFTY 50
BASE INDEXED TO 100 SOURCE ACE EQUITY

right to win” with its distribution and manufacturing strengths. In 2017, it launched the HomeShield waterproofing range (this included HomeShield PU RoofKoat and waterproof putty). The market was there but the approach had to be different. Berger put in place a “Moisture Meter” to determine the water content in the walls. The meter suggests solutions based on the reading. “It was about making scientific waterproofing the USP,” says Roy. Jaiswal agrees that rooftop and construction chemicals are small markets. “But it is a common problem. The market can take off,” he says.

That said, Roy maintains that the process of building a brand is a challenge but can be hugely rewarding. Capitalising on its brand equity in paints is one way of doing it. Kundu concurs and says the existing distribution infrastructure is a plus. “This is an underpenetrated market, making it attractive.”

The segment grew for Berger initially but addressed only 30% of the business, since 70% came from new construction. “It was clear to

us that we needed to be in the larger segment where the product is used right at the beginning and not at the stage of repair,” he says. The company now has a meaningful play in construction and waterproofing with the purchase of STP and launch of more products. “We are the third-largest after Asian Paints and Pidilite,” says Roy. In the recent past, it has launched Berger Dampstop and Berger Roof Kool & Seal; the latter can handle heat and monsoon.

Kundu says paint companies are increasingly looking for a bigger play in the value-added segment for product differentiation. “This leads to higher margins,” he says. He says 30-35% of the industry is still unorganised, offering significant headroom for growth.

LOOKING AHEAD

Berger’s journey over the last 30-odd years since the Dhingras bought it has been dotted with apparently small but meaningful decisions. One taken early was to retain the office in Kolkata (the owners worked from Delhi) and bring in professionals, an